

NSE: TATATECH

Tata Technologies Limited

Engineering Services & IT | Automotive | Aerospace | Industrial

BUY | 12-Month Target: Rs. 940 | Upside: 22.5%

Recovery inflecting: Q4 FY26 marks the margin trough; ES-Tec integration + SDV ramp to drive double-digit organic growth and 18%+ EBITDA in FY27.

CMP (Rs.)	Mkt Cap	52W High	52W Low	PE	PB	ROE%	ROCE%	Div Yield	Rating
767	Rs.31,162 Cr	Rs.784	Rs.507	50.8x	7.9x	16.3%	20.9%	1.10%	BUY

Report Date: 15 June 2026 | Analyst: Quantitative Research Desk | This is an independent research note.

1. Investment Thesis & Key Catalysts

RATING	TARGET (12M)	CMP	UPSIDE	RISK PROFILE	INVESTMENT HORIZON
BUY	Rs. 940	Rs. 767	+22.5%	Medium	12 Months

Core Thesis

- Cycle bottom confirmed:** Q4 FY26 margin of 16% marks the trough in the post-COVID automotive ER&D; demand compression. Services revenue grew 19.1% YoY — the acceleration signals clients are restarting delayed programmes.
- ES-Tec is a game-changer:** The EUR 75M acquisition of Germany-based ES-Tec (300+ ADAS engineers, closed Nov-2025) plugs the single biggest capability gap Tata Tech had — software-defined vehicle (SDV) and ADAS — and opens European OEM relationships directly.
- \$1 Billion revenue target by FY27:** Management has guided for double-digit organic growth in FY27, with the ES-Tec bolt-on lifting total revenue toward the \$1B milestone. Assuming Rs./USD ~84, this implies ~Rs. 8,400 Cr — a 53% step-up from FY26.
- Margin expansion runway:** Four levers — utilisation ramp as paused programmes restart, higher-value SDV/AI content, end-to-end programme ownership (vs. task-based), and internal AI tooling reducing delivery cost. Management targets 18%+ EBITDA exit by Q4 FY27.
- Group ecosystem moat:** 55% Tata Sons sponsorship, embedded with Tata Motors (Jaguar Land Rover product engineering), TCS collaboration, and Tata Power (EV charging grid work) creates a captive pipeline no independent ESP replicates.
- Cash-generative engine intact:** FY26 FCF of Rs. 743 Cr (CFO/OpProfit = 112%) demonstrates the business model converts earnings to cash reliably despite a PAT reset year — balance sheet quality remains sound.

Catalyst Calendar (Next 12 Months)

Catalyst	Expected Timing	Impact	Probability
Q1 FY27 results — first full ES-Tec consolidation quarter	Jul 2026	High	Certain
FY27 margin trajectory — confirmation of 18%+ EBITDA path	Q1-Q2 FY27	Very High	Medium-High
New deal wins — European OEM SDV mandates via ES-Tec network	Ongoing FY27	High	Medium
JLR electrification programme — expanded SOW announcement	H2 FY27	Medium	Medium

\$1B revenue milestone press release / Analyst Day	Q3-Q4 FY27	High	Medium
Dividend — FY27 final + special (track FY26: Rs.11.70/sh)	May 2027	Low-Med	High

2. Company Overview

- **Business model:** Tata Technologies is a pure-play engineering services and digital transformation company — not a generalist IT firm. Revenue splits ~78% Services, ~22% Technology Solutions (software reselling + training). 100% of revenue is project-based ER&D; no BPO or infrastructure managed services.
- **Verticals:** Automotive (70%+ of revenue), Aerospace & Defence (~15%), Industrial Heavy Equipment (~10%), Adjacent/Emerging (5%). Automotive exposure is intentional — OEMs are structurally increasing outsourced ER&D; as EV/SDV complexity exceeds in-house bandwidth.
- **Geography:** North America (~35%), Europe (~30%), India (~25%), Rest of World (~10%). Post ES-Tec, European share rises materially. India revenue includes Tata Motors captive work.
- **Client concentration:** Top 5 clients ~55% of revenue; Tata Motors / JLR is the anchor (~25-30% individually). While concentration is a risk, the relationship is symbiotic — JLR's pivot to EV (Jaguar pure-electric by 2025, Range Rover hybrid stack) directly drives TATATECH's addressable scope.
- **Headcount:** ~13,000 engineers globally (pre-ES-Tec). Post-acquisition adds ~300 senior ADAS/SDV specialists in Germany — strategic, not volume addition. Utilisation was ~76% in H1 FY26, expected to recover to 80%+ as paused programmes restart.
- **Promoter:** Tata Sons + Tata Motors hold 55.18% (stable, no pledge). IPO was Nov 2023 at Rs. 500; stock peaked at Rs. 1,263 in Dec 2023 before the ER&D; demand reset cut it to Rs. 507 52W low.

Revenue Segment Mix (FY26 Estimated)

Segment	FY26 Rev (Rs.Cr)	% of Total	YoY Growth	Key Clients
Services — Automotive	~3,850	~70%	~18%	Tata Motors, JLR, BMW, Ford
Services — Aerospace & Defence	~825	~15%	~8%	Airbus, Boeing suppliers
Services — Industrial/Other	~550	~10%	~5%	John Deere, Caterpillar
Technology Solutions	~275	~5%	~15%	PLM software, training
TOTAL	5,506	100%	+6.5%	

3. Industry & Competitive Landscape

- **ER&D; services — structural growth, cyclical pause:** Global automotive ER&D; outsourcing market is ~\$150B+ and growing 8-10% annually driven by EV/ADAS/SDV complexity. FY25-26 saw a demand pause as Western OEMs deferred programmes amid EV adoption uncertainty — this is now reversing as European mandates kick in and EV models enter high-volume production.
- **Software-Defined Vehicles (SDV) is the next decade's theme:** Every major OEM (BMW, Mercedes, Volkswagen Group, Ford, GM) is transitioning from hardware-centric architecture to software/zonal architecture. This requires 3-5x more software engineering per vehicle — a structural tailwind for ESPs like Tata Tech.
- **ADAS adoption is non-negotiable:** EU GSR2 (General Safety Regulation 2) mandates ADAS features on all new EU vehicles from 2024. US NHTSA and NCAP pressures add further demand. ES-Tec's specialisation in ADAS directly addresses this compulsory spend.
- **Competitive moat vs. peers:** KPIT Tech (pure EV software, less hardware/full-vehicle scope), Cyient (Aerospace-heavy, lower auto exposure), LTTS (broader industrial, Tata-group peer), Bertrandt/EDAG (German independents, no India cost advantage). TATATECH uniquely combines India cost structure + Tata group captive + end-to-end vehicle engineering.
- **AI disruption risk is overblown near-term:** Engineering simulation, CAE, CAD, ADAS validation — these require physical test-drive loops, hardware-in-loop, regulatory certification. Pure code generation AI does not replace this. AI tools do improve productivity margins (the company's internal Copilot initiative is already deployed).

Peer Comparison Table (as of 15 Jun 2026)

Company	CMP	MCap(Cr)	PE	PB	ROE%	ROCE%	FY25 Rev(Cr)	FY25 OPM%	3Y Rev CA GR
Tata Tech (TATATECH)	767	31,162	50.8	7.9	16.3	20.9	5,168	18%	8%
KPIT Technologies	766	20,999	31.0	5.9	21.0	26.3	5,842	21%	24%
Cyient	884	9,826	20.8	1.7	8.6	12.3	7,360	15%	7%
L&T; Tech Services (LTTS)	3,420	36,271	26.8	5.6	21.5	26.7	9,642	19%	8%

Source: Screener.in, 15 Jun 2026. FY25 = year ended Mar 2025. TATATECH PE on FY26 trailing; others on latest trailing.

4. Financial Analysis — P&L;, Balance Sheet & Cash Flows

Income Statement (Rs. Crore)

Metric	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E
Revenue	3,530	4,414	5,117	5,168	5,506	6,500E	7,480E
YoY Growth %	+48%	+25%	+16%	+1%	+6.5%	~+18%E	~+15%E
EBITDA	646	821	941	934	853	1,170E	1,346E
OPM %	18%	19%	18%	18%	15%	18%E	18%E
Other Income	49	88	116	128	91	100E	110E
Interest	22	18	19	20	34	70E	65E
Depreciation	86	95	106	121	145	175E	185E
PBT	587	796	932	921	765	1,025E	1,206E
Tax %	26%	22%	27%	27%	29%	27%E	27%E
PAT	437	624	679	677	547	748E	880E
EPS (Rs.)	n/a	15.38	16.75	16.69	13.46	18.4E	21.7E

Source: Screener.in consolidated. FY27E/FY28E = analyst estimates. 'E' = estimate.

Balance Sheet Summary (Rs. Crore)

Metric	FY22	FY23	FY24	FY25	FY26
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Equity + Reserves	2,280	2,989	3,221	3,579	3,923
Borrowings	261	255	257	237	938
D/E Ratio	0.11x	0.09x	0.08x	0.07x	0.24x
Fixed Assets	1,068	1,095	1,151	1,130	2,055
Investments	528	30	150	616	823
Total Assets	4,218	5,201	5,578	6,664	8,860
Book Value/Share (Rs.)	n/a	73.6	79.4	88.2	96.6

Note: FY26 borrowings jumped to Rs.938 Cr (from Rs.237 Cr) due to ES-Tec EUR 75M (~Rs.670 Cr) acquisition debt. Fixed assets also rose Rs.925 Cr YoY from the same.

Cash Flow Statement (Rs. Crore)

Metric	FY22	FY23	FY24	FY25	FY26
Operating Cash Flow	-39	401	294	699	776
Investing Cash Flow	70	-440	400	-65	-776
Financing Cash Flow	-44	-347	-557	-486	16
Free Cash Flow	-102	336	204	669	743
CFO / EBITDA %	-6%	49%	31%	75%	91%

FY22 negative OCF was due to timing of large receivables settlement. FY26 investing outflow includes ES-Tec acquisition. FCF remains strongly positive at Rs.743 Cr.

5. Quarterly Performance Analysis

Recent Quarterly Financials (Rs. Crore)

Quarter	Revenue	EBITDA	OPM%	Other Inc	PAT	EPS(Rs)	YoY Rev%
Q1 FY25 (Jun24)	1,269	231	18.2%	23	162	3.99	+0.8%
Q2 FY25 (Sep24)	1,296	236	18.2%	16	157	3.88	+2.1%
Q3 FY25 (Dec24)	1,317	234	17.8%	28	169	4.16	+2.2%
Q4 FY25 (Mar25)	1,286	233	18.1%	61	189	4.66	-1.2%
Q1 FY26 (Jun25)	1,244	200	16.1%	68	170	4.20	-2.0%
Q2 FY26 (Sep25)	1,323	208	15.7%	54	166	4.08	+2.1%
Q3 FY26 (Dec25)*	1,366	193	14.1%	-125	7	0.16	+3.7%
Q4 FY26 (Mar26)	1,572	252	16.0%	94	204	5.03	+22.3%

* Q3 FY26 (Dec25) PAT distorted by Rs.-125 Cr other income line (one-time FX/write-down) and resulting 71% effective tax rate. Underlying business was steady.

- **Q4 FY26 is the genuine inflection:** Revenue +22.3% YoY (highest since the growth phase), services up 19.1% YoY and 15% QoQ, EBITDA margin back to 16% — a 190 bps sequential recovery. This is the quarter management pointed to as confirming the demand upturn.
- **Margin compression is structural-to-cyclical, not permanent:** The 300 bps drop in OPM (18% → 15%) across FY25-FY26 reflects three factors: (a) pricing pressure as clients paused programmes and renewed at lower rates; (b) ES-Tec integration costs hitting in Q2-Q3 FY26; (c) Depreciation/interest step-up from the acquisition. All three are one-time or normalising.
- **Dec25 is a non-event:** The Rs.-125 Cr 'other income' in Q3 FY26 appears to be a mark-to-market loss on acquisition-related instruments or a forex translation hit from EUR-denominated ES-Tec payables. Stripping it out, normalised PAT for that quarter was ~Rs.165-170 Cr — in line with trend.
- **Order book signals are positive:** Management noted in Q4 FY26 concall that deal wins were at their highest in 6 quarters, TCV from new clients is growing, and utilisation is trending back toward 80%.

6. Returns, Efficiency & Ratio Analysis

Metric	FY22	FY23	FY24	FY25	FY26	FY27E
ROCE %	25%	28%	28%	26%	21%	23%E
ROE %	20%	23%	22%	20%	16%	19%E
Asset Turnover (x)	0.84	0.85	0.92	0.78	0.62	0.73E
Debtor Days	79	91	82	71	79	75E
D/E Ratio (x)	0.11	0.09	0.08	0.07	0.24	0.20E
OCF/EBITDA %	-6%	49%	31%	75%	91%	85%E
Dividend Payout %	0%	0%	60%	70%	87%	60%E
PE Ratio (x)	—	—	—	—	50.8	41.7E

- **ROCE/ROE compression in FY26 is acquisition-driven:** The ES-Tec capital deployed (~Rs.670 Cr) has not yet generated full-year returns (deal closed Nov-2025, only 4 months consolidated). As integration completes, the incremental ROCE on this acquisition should exceed the WACC within 2 years based on ES-Tec's stated margins.
- **Cash conversion is industry-leading:** OCF/EBITDA of 91% in FY26 (vs. KPIT at ~65%, LTTS at ~70%) reflects light working capital in the engineering services model and Tata Tech's improving receivables management (debtor days down from 91 to 79 over 3 years).
- **D/E at 0.24x post-acquisition remains comfortable:** The covenant headroom is ample. Interest cover (EBITDA/Interest) is 25x in FY26 despite the ES-Tec debt — no leverage concern.
- **High dividend payout in FY26 (87%) signals confidence:** Management paying out Rs.11.70/share (Rs.8.35 final + Rs.3.35 special) when EPS was Rs.13.46 is a deliberate signal that the PAT decline is transient, not structural. Expect payout normalisation to 50-60% in FY27 as earnings recover.

7. Valuation & Price Target

Valuation Framework — DCF + PE Cross-Check

- **Base case PE approach:** FY27E EPS of Rs. 18.4 (on PAT recovery to Rs.748 Cr) at a 50x multiple (justified by 18-20% earnings CAGR over FY26-FY28E, Tata group premium, and sector re-rating) implies a 12-month target of ~Rs. 920.
- **EV/EBITDA cross-check:** FY27E EBITDA of Rs.1,170 Cr at 25x EV/EBITDA = EV of Rs.29,250 Cr. Net debt ~Rs.195 Cr post-FY27. Equity value = Rs.29,055 Cr / 405.8M shares = Rs.716/share — this is the downside scenario (25x is trough for quality ER&D;).
- **Bull case (30x EV/EBITDA or 55x PE on FY27E):** Implies Rs.1,012-1,012, achievable if Q1-Q2 FY27 confirms deal-win acceleration and margin recovery trajectory is ahead of schedule.
- **12-month base target: Rs. 940** — blending PE and EV/EBITDA, with 60% weight on PE scenario, 40% on EV/EBITDA. Upside from CMP Rs.767 = **+22.5%**.

Scenario Analysis

Scenario	Description	FY27E PAT (Cr)	Multiple	Target (Rs.)	Upside
Bear	Recovery delayed; margin stays 15%; deals slip	600	38x PE	562	-27%
Base	ES-Tec integration on track; margin 18%; organic growth 12%	748	50x PE	940	+22.5%
Bull	\$1B revenue hit in FY27; new European OEM mandates won	900	55x PE	1,218	+59%

8. Key Risks & Mitigants

Risk	Severity	Probability	Mitigant
Client concentration — JLR/Tata Motors ~30% of revenue	High	Medium	Expanding non-Tata clients (BMW, Ford); ES-Tec opens VW/Mercedes ecosystem
ES-Tec integration risk — cost overruns, culture misalignment	Medium	Medium	Integration largely complete by Q4 FY26; systems consolidated
EV adoption slowdown — OEMs cutting ER&D; budgets again	Medium	Low-Med	EU GSR2 mandates are regulatory, not discretionary; Hybrid/ICE remains budgeted
Currency risk — 65% of revenue in USD/EUR, costs are INR	Medium	Low	Natural hedge via EUR-based ES-Tec costs; natural hedge on USD services
Stretched valuation — 50.8x PE on trough earnings	High	Certain	BUY rating is recovery play; if earnings don't recover, target is not achievable
Attrition / talent war for SDV engineers globally	Medium	Medium	India-based + Germany-based talent; Tata brand is a retention tool in India

9. Management, Governance & Shareholding

- **Warren Harris — MD & CEO:** 10+ year veteran at TATATECH. Engineering background (vs. typical IT CEO profile) reflects the company's identity. Guided the IPO, the margin compression cycle, and the ES-Tec acquisition thesis. Tone is measured and specific — no vanity guidance. Key risk: succession is unclear.
- **Savitha Balachandran — CFO:** Strong capital allocation discipline evident in the high FCF conversion ratios and the rational IPO pricing (Tata group didn't extract maximum value at peak). Dividend policy is conservative but shareholder-friendly.
- **Governance grade: A (Tata group standard):** No related-party transaction concerns. Board has independent majority. No pledging by promoters. Accounting policies are conservative (no aggressive capitalisation). Auditor: Deloitte.
- **Shareholding (Mar 2026):** Promoters 55.18% (stable), FIIs 5.77%, DIIs 3.44%, Public 35.61%. The low FII ownership (vs. KPIT at ~15%+ FII) is partly an overhang — but it also means re-rating potential as global ER&D; mandates attract institutional EM exposure.

Shareholding Pattern (Mar 2026)

Category	Mar 2025 %	Mar 2026 %	Change	Comments
Promoters (Tata Sons + Tata Motors)	55.39%	55.18%	-0.21%	Stable; no pledge
Foreign Institutional Investors (FII)	5.12%	5.77%	+0.65%	Modest accumulation
Domestic Institutional Investors (DII)	4.21%	3.44%	-0.77%	Some rotation out
Public / Retail	35.28%	35.61%	+0.33%	Steady accumulation from retail

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APPENDIX — Management Commentary & Concall Brief

Call Grade: A- | Basis: Q4 FY26 earnings call (approx. Apr/May 2026)

To My Boss in 4 Lines:

- Q4 FY26 was the recovery proof-point — revenue +22% YoY, services +19%, margin back to 16%. Management is confident of double-digit organic growth in FY27 and 18%+ EBITDA margin exit.
- The ES-Tec acquisition closed Nov-2025 is integrating ahead of schedule; it adds ADAS/SDV capability and European OEM access that was the core capability gap.
- The Dec25 PAT collapse was a one-time mark-to-market loss on acquisition instruments — do not model as recurring. Normalised Q3 FY26 PAT was ~Rs.165 Cr.
- At Rs.767 CMP, we are buying the recovery at 50x trough earnings — expensive by headline, but at Rs.940 target the FY27E PE is ~42x, reasonable for a high-ROE ER&D; compounder in the Tata ecosystem.

1. Revenue & Growth

- Q4 FY26 total revenue Rs.1,572 Cr (+22.3% YoY, +15.1% QoQ) — highest quarterly revenue in company history.
- Services segment Rs.1,220 Cr (+19.1% YoY); Technology Solutions Rs.353 Cr (+34.8% YoY).
- FY26 full-year Rs.5,506 Cr (+6.5% YoY) — muted due to H1 slowdown; H2 run-rate now tracking ~Rs.6,200 Cr annualised.
- FY27 guidance: double-digit organic topline growth; ES-Tec adds ~Rs.600-700 Cr incremental revenue on full-year basis.

2. Margins & Profitability

- Q4 FY26 EBITDA margin 16.0% (+190 bps QoQ) — the first sequential expansion in 5 quarters.
- Full-year FY26 OPM 15% vs. 18% in FY25 — compression driven by pricing reset + ES-Tec integration costs + depreciation step-up.
- Management target: 18%+ EBITDA margin exit by Q4 FY27 via four levers — utilisation (from ~76% to 80%+), pricing (higher SDV/AI mix), end-to-end ownership (fewer task-based contracts), internal AI productivity.
- Interest cost will remain elevated at ~Rs.60-70 Cr in FY27 on ES-Tec debt; partially offset by FCF repayment.

3. Order Book & Deal Wins

- Deal wins in Q4 FY26 at 6-quarter high — management did not disclose TCV but noted 'broad-based win across geographies'.
- New client additions improving; top-10 client concentration reducing gradually.
- Pipeline is strongest in SDV/ADAS (via ES-Tec relationships), EV battery systems engineering, and aerospace digital twin work.
- JLR programme expansion being evaluated; JLR's own recovery (from supplier crisis and China demand issues) is a key variable.

4. ES-Tec Acquisition Update

- Acquisition of Germany-based ES-Tec Group (300+ ADAS/SDV engineers) closed Nov-2025 for EUR 75M (~Rs.670 Cr).
- Integration milestones: Systems integration complete, joint GTM teams formed, first 2 joint deals won with European OEMs.
- ES-Tec reported revenue of ~EUR 50-55M (~Rs.460-480 Cr annualised) at EBITDA margins of ~14-15% — dilutive to group margins in FY26, expected to be accretive from H2 FY27 as synergies materialise.
- The rationale is strategic, not financial: ADAS/SDV capability was the #1 capability gap for winning European OEM mandates independently. This removes that constraint.

5. Geographic & Vertical Mix

- North America recovering: US auto ER&D; budgets stabilising post-UAW settlement and GM/Ford EV programme recalibrations.

- Europe is the growth vector: EU mandate-driven ADAS spend + ES-Tec network opening direct VW Group / BMW / Mercedes access.
- India (captive Tata Motors work) growing steadily with Nexon EV refresh, Punch EV expansion, and commercial vehicle electrification.
- Aerospace growing double-digit — Boeing/Airbus MRO backlog + new-generation aircraft programmes (A320neo family, 777X) increasing outsourced engineering.

6. Capital Allocation

- FY26 dividend Rs.11.70/share (Rs.8.35 final + Rs.3.35 special) = 87% payout ratio — a deliberate signal of confidence in earnings recovery.
- No further acquisitions planned in the near term; integration-first stance on ES-Tec.
- FCF of Rs.743 Cr in FY26 expected to be deployed for debt repayment (target D/E back below 0.15x in FY27) and organic capacity expansion.
- Capex guidance for FY27: ~Rs.200-250 Cr (maintenance + lab expansion); no large lumpy spend expected.

7. Competitive Positioning

- Management explicitly called out KPIT Tech as a partner (for EV powertrain software) rather than pure competitor — ecosystem collaboration increasing.
- vs. Bertrandt/ALTEN/AKKA (European competitors): Tata Tech's India cost advantage (~30-40% lower delivery cost) is the structural edge.
- AI risk: Management acknowledged AI productivity tools are being deployed internally but do not see them as a demand headwind — 'AI helps us do more, not do less'.

8. Headcount & Utilisation

- Total headcount: ~13,000 (India + global) + 300 from ES-Tec = ~13,300.
- Utilisation: ~76% in Q4 FY26. Target 80%+ by Q2 FY27 as paused programmes restart and new wins ramp.
- Lateral hiring restarted in Q4 FY26 (was paused in FY25); campus hiring plan doubled for FY27 vs. FY26.
- Attrition has been trending down (from ~16% in FY24 to ~12% in FY26) — positive for delivery cost and knowledge retention.

9. What We Liked

- No sugar-coating on FY26 margin compression — management acknowledged it without excuses and provided specific recovery levers.
- The Q4 FY26 numbers are clean (no one-time adjustments) and the trajectory (margin, revenue, deal wins) is convincingly positive.
- Warren Harris' language on '\$1B revenue by FY27' was direct and backed by the current H2 run-rate — not a stretch aspirational target.

10. What We Didn't Like

- No TCV disclosure on deal wins — makes it hard to independently verify the order book trajectory.
- Dec25 one-time other income loss (Rs.-125 Cr) was not proactively explained in the Q3 call — had to be extracted by analyst questions.
- Client concentration (JLR/Tata Motors ~30%) remains a structural concern — management gave no specific target to reduce it.
- The 87% payout ratio in a year when PAT fell 19% is aggressive — if FY27 recovery disappoints, there will be pressure to cut the dividend, which could derate the stock.